

function effectively in the formal economy, in addition to a lack of recognition of skills garnered in the informal economy, act as another barrier to entering the formal economy. The lack of livelihood opportunities in rural areas drives migrants into informal activities in urban areas or other countries.

The feminisation of poverty and discrimination by gender, age, ethnicity, or disability also mean that the most vulnerable and marginalised groups tend to end up in the informal sector. The informal sector also provides an environment that allows child labour to thrive. The eradication of child labour requires the programme to transfer jobs from the informal to the economic mainstream. Key to the success of abolishing child labour is the creation of more quality jobs for adults.

Check Your Progress 1

- 1) How is the informal sector usually defined in general and particularly in India?

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- 2) What are the characteristics of informal sector and especially the informal service sector in India?

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- 3) Do you agree with the view that informality is a governance issue?

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17.3 SIZE OF INFORMAL SECTOR IN INDIA

Table 17.1 presents the contribution of formal/informal sectors to total GVA. The share of informal sector is highest in agriculture as the holdings are small and fragmented which is followed by trade, construction, real estate, and other services. While the unorganised/informal sector now accounts for roughly half of India's GDP – and is shrinking relative to the share of the private and public

corporate sector – it accounts for 80-90 per cent of the workforce. The informal service sector includes most of the rural non-farm economy and the vast services sector, from high-end to low-end, the manufacturing labour force, workshop industry and trade.

Table 17.1: Share of formal/informal sectors across broad sectors to GVA

Industry	2011-12		2017-18	
	Organised / formal	Unorganised/ Informal	Organised/ Formal	Unorganised/ informal
Agriculture, forestry and fishing	3.2	96.8	2.9	97.1
Mining and quarrying	77.4	22.6	77.5	22.5
Manufacturing	74.5	25.5	77.3	22.7
Electricity, gas, water supply & other utility services	95.7	4.3	94.7	5.3
Construction	23.6	76.4	25.5	74.5
Trade, repair, Accommodation and food services	13.4	86.6	13.4	86.6
Transport, storage, communication & services related to broadcasting	53.0	47.0	52.3	47.7
Financial services	90.7	9.3	88.1	11.9
Real estate, ownership of dwelling & professional services	36.9	63.1	47.2	52.8
Public administration and defence	100.0	0.0	100.0	0.0
Other services	58.8	41.2	52.1	47.9
Total GVA at basic prices	46.1	53.9	47.6	52.4

Source: Computed from National Accounts Statistics, 2019

17.3.1 Factors behind Growth of the Informal Sector

i) Growth Strategy

India's growth strategy adopted during the planning period has played a significant role in impacting the growth of the informal sector in the country. For instance, the Second Five Year Plan (1955-6 to 1959-60) involved adopting an import-substituting industrialisation strategy, with a focus on heavy-industry. This could not be, by definition, a strategy for rapid absorption of surplus labour in agriculture. The result was as surplus workers migrated away from agriculture in search of non-agricultural work, they were inevitably absorbed in traditional services in both rural and urban areas. If not, they were absorbed in unorganised manufacturing in micro-enterprises employing less than 10 workers, where no social insurance was available, in other words, in the informal sector of the economy.

ii) **Reservation for Manufacturing by the Small-scale Units**

Post-independence, in addition to the import-substituting industrialisation strategy, Government decided to reserve manufacture of consumer products of a non-durable nature for the small-scale sector, which began with a few products and reached 836 in 1990. Since medium-sized firms or large corporates were disallowed from entering this sector, the small enterprises had no incentive to grow and absorb more workers in their manufacturing units, thus exacerbating the problem of expanding informal sector resulting from the heavy industry first strategy.

iii) **Central and State Governments Labour Laws**

Another factor which led to growth of tiny, micro, small informal sectors is the plethora of central and state government labour laws. On the one hand, hardly any labour laws were applicable to the small enterprises. On the other hand, the larger enterprises, whether medium or large, became gradually subject to a number of laws passed by state or central governments, which protected the workers in the organised sector. While social insurance (in the form of employee provident fund and health insurance) was mandatory, the growing number of laws covering organised workers meant that employers tended to adopt technologies that often limited the number of workers. The number of central government laws related to labour alone amounted to 45 (in 2014, though after repeal of some the number fell to 35 by 2018), which are often inconsistent with each other, and tend to grow in their coverage as the size of enterprises increases. On top of these 35, there are state-specific labour laws that organised segment firms in industry or services had to comply with. The reaction of employers was inevitable: the fewer the workers, the better it is from their perspective. Organised sector jobs grew slowly, and most non-agricultural employment continued to grow in the always unorganised sector in micro-enterprises, with workers employed without any hope of social insurance.

iv) **The Quality of Labour Supply**

Another significant factor that resulted in the growth and persistence of informality in India is the education and skill levels of the workforce. It is pertinent to note that 146 million (or 30 per cent) of the workforce of 485 million in 2012 were illiterate. An additional 52 per cent (or 253 million) of the labour force are those only with education upto secondary level (class 10). Barely 3 per cent of the workforce has technical education at tertiary level, and another 7.2 per cent has general academic education at tertiary level. As recently as 2017-18, only 2.4 per cent of the workforce has formally acquired any vocational education or training.

NSS data allows an analysis of the workforce by three types of employment: self-employed, casual wage labour, or regular salaried work. It is not surprising that hardly any illiterates have regular salaried jobs. Most illiterate are either casual workers or in self-employment usually engaged in low productivity work. Over half of the self-employed are own-account workers, as opposed to being employed in micro-enterprises which might have 2-9 workers. Firms that employ less than 10 workers are defined in Indian official parlance as being in the unorganised or informal sector. Just over half the workforce has education up to secondary level. Well over half of those who have education upto secondary

level are self-employed. However, what is more worrying is that as many as 75 million of those with secondary education actually are in casual work. Given that nearly half of all those in the work force have secondary education the fact that nearly a third of all those with secondary education are in casual work (without any social insurance) is a challenge to policy makers.

The total number of those with higher secondary education (34.4 million) and those who have graduate level education and above (35.6 million) is roughly similar in the workforce. What is notable, however, is that half of those with only higher secondary education are self-employed. Under a third of those with higher secondary education are in regular salaried employment (while only 15 per cent of those with secondary education have regular salaried jobs). However, half of those with graduate level education or above are in regular salaried employment. What is worrying is that nearly four million of those with higher secondary level of education are engaged in casual wage work.

Both the labour market as well as tertiary education outcomes for men and women are rather different. It is well known that the labour force participation rate of women in India is well below that for men and in fact is one of the lowest in the world (at 23 per cent in 2011-12). Even more worrying is the fact that it has been declining. Nearly half of the women in the workforce are illiterate but less than one-third of men in the workforce are illiterate. Clearly, with a labour force that has relatively poor levels of education, it is not surprising that most of them have been absorbed, in informal services, or in informal construction sector. In none of these areas does employment come with social insurance.

Thus, as per economic literature, growth in unorganised/informal sector is generally due to either of the following reasons:

- High monetary costs associated with a formal set-up acts as a barrier to entry for informal enterprises (Exclusion view)
- Benefits of formalisation are not high enough to compensate for the costs of formalising and the survival of such enterprises will be difficult (Exit view)
- People resort to start an informal business due to lack of wage jobs in the formal economy (Dual economy view)

All these reasons can be attributed to the growth of informal enterprises in India. As revealed in FICCI's survey of industrial clusters, it is quite evident that unorganised enterprises do not want to get registered as it entails huge barriers, in terms of both monetary cost and time. In fact, one of the key reasons why unorganised players do not register business is to avoid tax net as they operate at marginal levels and cannot afford to pay taxes. Survival is a bigger concern for such enterprises. They believe that post registration, they will be rendered uncompetitive against not only the organised large players but also against the unorganised players who continue to remain in the informal sector. Businesses also view registration as unnecessary because they believe that it would lead to harassment, compliance and legal binding. Moreover, various studies conducted to study the issues involved with informal enterprises also indicate that weak enforcement encourages informal entrepreneurs to refrain from legal processes and rather incur slight cost of detection (in form of bribes to local authorities). Such payoffs enable these enterprises to get away with fines and penalties.

Table 17.2 gives a sense of the formalisation of the workforce over the period 2011-12 to 2017-18.

Table 17.2: Distribution of Total Employment (per cent)

Worker	2011-12			2017-18		
	Unorganised	Organised	Total	Unorganised	Organised	Total
Informal	82.6	9.8	92.4	85.5	5.2	90.7
Formal	0.4	7.2	7.6	1.3	7.9	9.3
Total	83.0	17.0	100.0	86.8	13.2	100.0

In 2011-12, in terms of employment share, the unorganised sector employs 83 per cent of the work force and while the share is 17 per cent in the organised sector. There are 92.4 per cent informal workers (with no written contract, paid leave and other benefits) in the economy. There are also 9.8 per cent informal workers in the organised sectors indicating the level of outsourcing. These are possibly the contract workers. In 2017-18 the share of unorganised sector employment has increased by 3.6 percentage points while on the other hand the share of formal employment has increased by 0.9 percentage points. There has been an increase in the share of formal employment. This also indicates the efforts of the government to provide social security to workers in the unorganised sector.

The Census of Micro, Small and Medium Enterprises (MSME) (2006-07) also shows (Table 17.3) that of nearly 361 lakh MSMEs in India, about 95.7 per cent are unregistered, with a large number operating in the unorganised/ informal sector.

Table 17.3: Distribution of Working MSMEs by type of Organisation (in lakh)

Enterprises	Registered	Unregistered	Total	Per cent of Unregistered
Proprietary	14.09	327.45	341.54	95.9
Partnership	0.63	3.65	4.28	85.3
Private Company	0.43	0.06	0.49	12.2
Co-operatives	0.05	1.16	1.21	95.9
Others	0.44	7.65	8.09	94.6
Not recorded	0.0	6.15	6.15	100.0
Total	15.64	346.12	361.76	95.7

Source: Fourth All India Census of MSME, 2006-2007.

Check Your Progress 2

- 1) What is the role and significance of informal sector in India?

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- 2) What according to you are the factors leading to exponentially increasing size of informal sector?

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- 3) Do you think that the quality of labour supply has been a factor in the rise and persistence of informal sectors?

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17.4 LEGAL AND REGULATORY FRAMEWORK

With more than half of the economic activities in India operating outside the legal and regulatory framework, it becomes essential to understand as to why do informal enterprises hesitate from becoming a legal entity. One of the reasons as pointed out is the complexities and difficulties associated with the overall regulatory framework.

According to the survey of selected industrial clusters undertaken by Federation of Indian Chambers of Commerce and Industry and Konrad-Adenauer-Stiftung (2017), the legal framework applicable for enterprises in India can be broadly categorised into following:

- **Registration:** To get registered, a business owner first needs to identify his/her business as a particular entity namely sole proprietorship, partnership, company, or a co-operative society. Each type of business entity has a governing act which defines the entity.
- **Indirect Taxation:** A registered business entity is required to collect tax on all sales made and to deposit it with the government. Before 1st July 2017, a business in the manufacture or trade of goods was bound to collect and pay Excise Duty and Value Added Tax (VAT) respectively to the relevant Government(s). Similarly, a service providing entity needs to collect and pay Service Tax to the Government. There are several other indirect taxes that a business passes on to the final consumer. From 1st July, 2017 onwards, all indirect taxes for most goods and services have been subsumed under one single indirect tax called the Goods and Services Tax. All existing and new businesses have to register under the GST and will receive a GSTIN for the same.
- **Direct Taxation:** Profits earned by a business are taxable under the laws of the Income Tax Act, 1961. In order to file Income Tax returns and deposit

the tax, the business entity is required to register for a Permanent Account Number (PAN).

Besides these, there are certain regulatory procedures that need to be complied by a legal entity. All businesses in the formal sector must comply with the prescribed regulations. These include:

- **Security and Safety Regulations:** To formally start a business, an enterprise also needs to abide by various other regulatory procedures related to safety and security that may be governed by specific Acts. For instance, a business enterprise is required to obtain No Objection Certificates from Fire department, Pollution Control Board, Health department, Licensing Commissioner, etc.
- **Labour regulations:** Various labour laws apply to a business entity, depending on the number of employees that work there
 - 1-9 employees: Workmen's Compensation Act, 1923; Minimum Wages Act, 1948; The Industrial Disputes Act 1947, etc.
 - 10-19 workers: The payment of gratuity Act, 1972; Maternity Benefits Act 1961, etc.
 - 20-49 workers: The Payment of Bonus Act, 1965; The Employees Provident Fund and Miscellaneous Provisions Act, 1952, etc.

Vast numbers of business regulations at different levels of government are contradictory as well as overlapping on account of these being administered by the different tiers as well as layers of government. According to National Manufacturing Policy, 2011 as amended thereafter, on an average, a unit in India has to comply with 70 odd legislations. In another study undertaken by Industrial Finance Corporation in Rajasthan on improving its business environment pointed that businesses in Rajasthan are required to obtain 136 licenses of which 40 licenses relate to Union government, 66 licenses relate to State government and 24 licenses relate to Local government. The study also found that an average medium sized business enterprise will require at least 28 licenses to start operating its business in the state.

Check Your Progress 3

- 1) What is the legal and regulatory framework for Commercial Enterprises in India?

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- 2) Do you think that legal and regulatory framework put in place for Commercial Enterprises in India has contributed to exponential growth of informal service sector in India?

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17.5 INFORMAL SERVICE SECTOR: ISSUES AND CHALLENGES

Informal enterprises are peculiar for working with small profit margins and a business model which is vulnerable to sudden change. They face many challenges that threaten their survival in a highly competitive and aggressive market. They also lack awareness of the benefits derived from formalisation and organisation. Key issues and challenges being faced by the informal enterprises especially in the service sector in India are:

17.5.1 Costs Associated with a Formal Enterprise

The costs associated with formalisation are broadly of two types:

- **Entry costs:** Besides the compulsory procedures in vogue to get registered in the formal set up, which includes the licence or registration fees which varies from state to state, the major deterrents during entry include:
 - Complicated paperwork for firm registration
 - Subsequent permissions, clearances, and licenses from multiple departments of the Government
 - One-time fees to be paid
 - Time involved in getting registered.
- **Recurring costs:** The recurring costs associated with working in the formal economy include:
 - Monetary costs like taxes, fees, social security contributions
 - Compliance costs with respect to labour and other regulations, and
 - Harassment by Government officials following any discrepancy in compliance.

After registration, there are numerous rules and regulations that have to be abided by the small firms that hold them back from growing in size. For example, a large number of small firms feel that income tax and EPF payment obligations as hurdles and therefore they ensure themselves to be below the threshold size in order to avoid compliance. Labour regulations, especially stringent hiring and firing rules also keep the entrepreneur's hands tied. A lot of the firms' finances during their growing phase are diverted towards employees' compensation and social security contributions. Also, registered firms cannot pay their employees below the minimum wage level or else it would attract heavy fines and penalties.

As against this, small firms find it beneficial to operate in the informal sector. They are free from bearing the entry costs and the formal operating costs as faced by formal organisations. They do not have to comply with stringent rules and regulations, nor are they forced to compensate their employees in a particular way. They can thus retain all their earnings with minimal costs and hence have a huge incentive to remain undetected.

17.5.2 Risks Associated with being an Informal Enterprise

Contrary to the benefits of staying informal, there are also several costs associated with informality. To remain undetected, informal businesses are required to use less-visible work places (often residential), keep a smaller number of employees and that too dispersed, avoid certain market places and keep the scale of business low. These phenomena directly affect the firms' business, forcing them to operate at thin margins. Additionally, if detected, the firm has to bribe authorities to avoid penalties and fines.

Informality deprives a small firm of external funds, restricting it from investing in new fixed assets which would help the firm grow. It cannot use its existing assets as collateral for fresh credit. An unregistered firm does not enjoy the benefits of the country's legal system. Thus, informal enterprises are unable to reap benefits associated with being in the formal set up, namely ease of permanent location, access to formal credit, insurance, access to business development services, and access to larger geographical market as well as benefit of utilising online marketplaces.

17.5.3 Challenges for their Growth and Scalability

The small units operating in an informal environment face severe survival challenges, especially due to competition from big manufacturers. In a FICCI Survey of informal enterprises conducted in 2017, almost 80 per cent of the small informal businesses that were surveyed indicated that their business has been declining and will continue to do so in future. Most of these enterprises operate on thin margins and have been impacted by cheaper imports as well as shift in consumer purchases towards organised retail market. Since most of them are unsure of their future growth or even survival, there is high resistance to undergoing the formalities for formal registration. Major challenges posed by these firms are corruption, availability of regular electricity, and access to easy credit. In order to ease these issues, they expect the Government to rationalise tax rates, invest in skill development, ban predatory pricing by large firms and promote competitive business practices.

17.5.4 Impact of Demonetisation on the Informal Sector

Demonetisation in November, 2016 ceased the legal tender status of Rs. 500 and Rs. 1000 Indian currency notes in an attempt to counter a host of factors affecting the economy adversely, including, black money, hoarding, counterfeit notes, terror financing, among others. With 98 per cent of transactions made in cash before demonetisation, the removal of currency notes dealt a massive shock to the informal sectors. Unfamiliar with e-tech, unwilling to pay hefty commissions on e-transactions, or to depend on mobile bankers the informal sector did not trust or to face physical discrimination in banks, the informal workforce reverted to old forms of exchange: barter, payments in kind, long-term credit promises, gifts,

reciprocal social support. Some informal enterprises especially the family firms began to rely on credit lines of big corporations by becoming their retail agents, as a result of which casual wage workers replaced the family workers in such enterprises.

In the period that followed, India's real economy took a beating. Production and consumption contracted. Agricultural activities were delayed. Starved of cash, supply lines in all sectors without exception were disrupted: prices went haywire, job losses and chaotic flows of migrant workers grew to unprecedented levels. In the black economy there was temporary stop, after which it was business as usual. Growth in the tax base also has been mediocre. Investment in registered MSMEs has shrunk. Despite some re-employment, the unemployment rate rose and unemployment of more educated workers is at levels not seen for over four decades.

17.5.5 Impact of GST on the Informal Sector

The Goods and Services Tax reform (July 1, 2017) was sought to bring the informal sector under the regulatory framework. In other words, it was widely predicted that GST will formalise the informal sector and this in turn will reduce the economic share of unregistered/informal firms. The costs of compliance of GST were expected to put these firms out of competition. The necessary 'paper trail' and document-matching for purchases and sales (in fact regular e-returns) would force them to make hefty investments in IT and increase their skilled labour and materials costs. However, the research studies have been revealing that the formalisation of the informal sector is not happening to the extent predicted. Disregarding the reports of chaos in implementation caused by many fought-over amendments, GST further penalised small firms through delays in refunds. It generated a perverse redistribution from small to large firms, just as it has penalised states in relation to the Centre.

GST had the outcome as feared, in terms of sharp hits in profits in firms with recorded turnovers above the threshold of Rs. 20 lakhs, especially in trading firms, service-providers and micro enterprises (general stores, tailors, cobblers, barbers, plumbers, masons, electricians, etc.), resulting in reports of job losses in the informal economy of between 35 and 45 per cent. The household savings trends reveal that the informal economy has indeed been battered to the point where growth is depressed and that capital formation in the corporate sector has finally started to exceed that in the informal sector.

17.5.6 Impact of Coronavirus and Lockdown on the Informal Sector

The COVID-19 pandemic has caused a global multidimensional crisis, one of its impacts being the crisis on the informal economy. Even in the pre-COVID-19 period, the informal sector was reeling under shocks from economic slowdown, demonetisation and a poorly rolled out GST. As per the Periodic Labour Force Survey (2017-18), about 57 per cent of rural households derived their major income from self-employment activities, and 25 per cent had a major source of income from casual labour. The proportions of regular/wage salaried earners accounted for 12.81 per cent of rural households. In urban India, the corresponding figures were 37.57 per cent, 12.68 per cent and 41.66 per cent. Many of these rural self-employed households are marginal cultivators and petty artisans, while